

3.1.1 Economic foundations

Students look at the nature and purpose of economic activity based on the production of goods and services and the satisfaction of needs and wants. Students explore the factors of production, leading to an understanding of how and why choices are made. Students will come to an understanding that there is always a cost attached to any economic choice.

3.1.1.1 Economic activity

Content	Additional information
• Needs and wants • The central purpose of economic activity • The key economic decisions • The main economic groups	Students should be able to understand: • the difference between a need and a want, and how these can change over time • the central purpose of economic activity is the production of goods and services to satisfy needs and wants • the key economic decisions are: what to produce, how to produce, and who is to benefit from the goods and services produced • consumers, producers and government are the main economic groups • the interactions between the main economic groups.

3.1.1.2 The factors of production

Content	Additional information
The factors of production	Students should be able to: • understand the nature of an economic resource • identify and understand examples of the four factors of production (land, labour, capital and enterprise) and the reward accrued to each.

3.1.1.3 Making choices

Content	Additional information
• The basic economic problem • Costs and benefits of economic choices, including opportunity costs	Students should be able to understand: • how and why choices are made, and how costs and benefits can be weighed up to make a choice • the concept of opportunity cost in the context of economic activity.